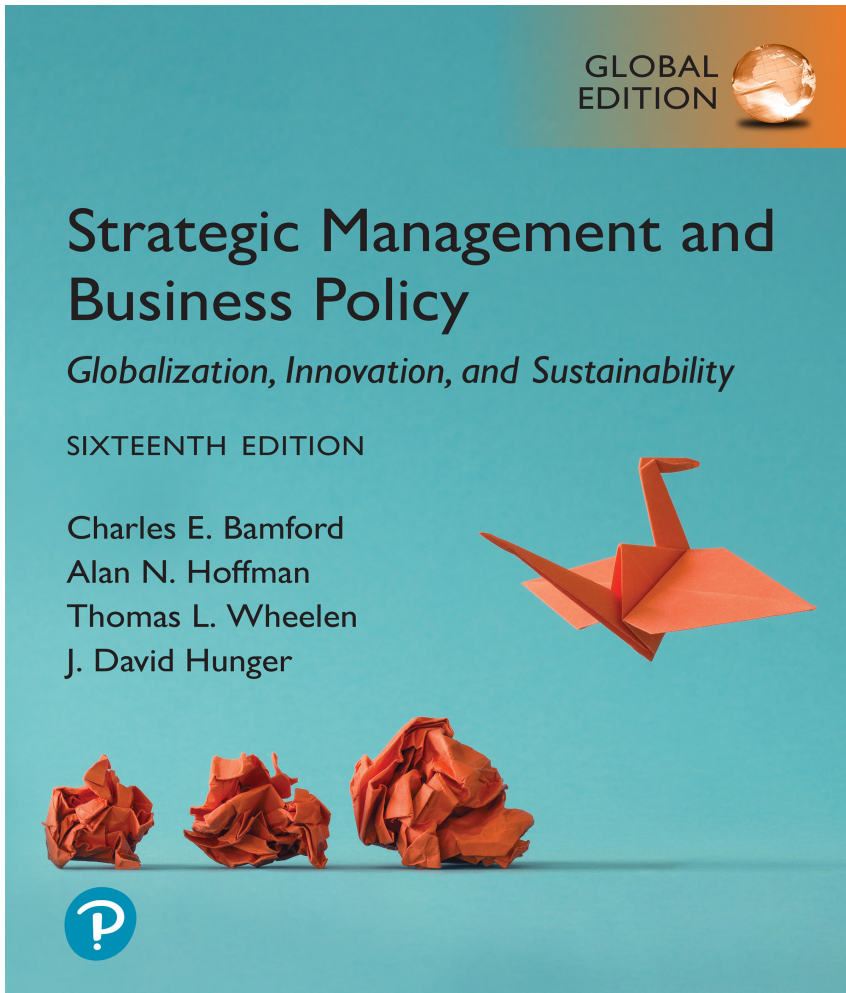


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 7

Strategy Formulation: Corporate Strategy

Corporate Strategy (1 of 3)

- **Corporate strategy**
 - the choice of direction of the firm as a whole and the management of its business or product portfolio and concerns

Corporate Strategy (2 of 3)

- **Directional strategy**
 - the firm's overall orientation toward growth, stability, or retrenchment
- **Portfolio analysis**
 - industries or markets in which the firm competes through its products and business units

Corporate Strategy (3 of 3)

- **Parenting strategy**
 - the manner in which management coordinates activities, transfers resources, and cultivates capabilities among product lines and business units

Directional Strategy

- **Growth strategies**
 - expand the company's activities
- **Stability strategies**
 - make no change to the company's current activities
- **Retrenchment strategies**
 - reduce the company's level of activities

Figure 7-1

Corporate Directional Strategies

• GROWTH	• STABILITY	• RETRENCHMENT
Concentration Vertical Growth Horizontal Growth Diversification Concentric Conglomerate	Pause/Proceed with Caution No Change Profit	Turnaround Captive Company Sell-Out/Divestment Bankruptcy/Liquidation

Growth Strategies

- **Merger**
 - a transaction involving two or more corporations in which both companies exchange stock in order to create one new corporation
- **Acquisition**
 - purchase of another company

Why Growth Is Attractive to Management

From a management perspective, growth is attractive for two reasons:

1. Growth based on increasing market demand may mask flaws in a company—flaws that would be immediately evident in a stable or declining market.
2. A growing firm offers more opportunities for advancement, promotion, and interesting jobs.

Growth Strategies: Concentration (1 of 3)

- **Vertical growth**

- achieved by taking over a function previously provided by a supplier or distributor

- **Vertical integration**

- the degree to which a firm operates vertically in multiple locations on an industry's value chain from extracting raw materials to manufacturing to retailing

- **Backward integration**

- assuming a function previously provided by a supplier

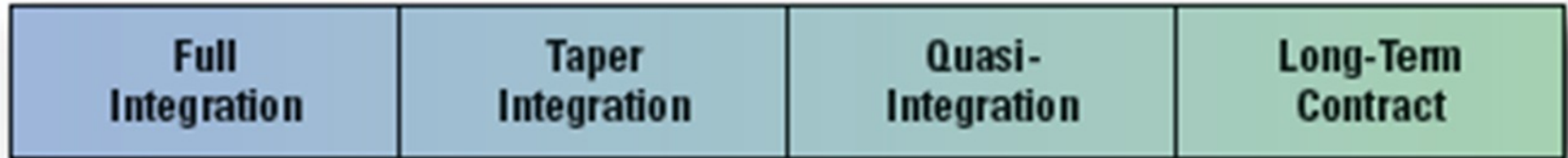
- **Forward integration**

- assuming a function previously provided by a distributor

Growth Strategies: Concentration (2 of 3)

- **Transaction cost economies**
 - vertical integration is more efficient than contracting for goods and services in the marketplace when the transaction costs of buying on the open market become too great

Figure 7-2 Vertical Integration Continuum



Source: Suggested by K. R. Harrigan, *Strategies for Vertical Integration* (Lexington, MA: Lexington Books, D.C. Heath, 1983), pp. 16–21.

Full integration

a firm internally makes 100% of its key suppliers and completely controls its distributors

Taper integration

a firm internally produces less than half of its own requirements and buys the rest from outside suppliers

Quasi-integration

a company does not make any of its key supplies but purchases most of its requirements from outside suppliers that are under its partial control

Long-term contracts

agreements between two firms to provide agreed-upon goods and services to each other for a specific time

Growth Strategies: Concentration (3 of 3)

- **Horizontal growth**
 - expansion of operations into other geographic locations and/or increasing the range of products and services offered to current markets
- **Horizontal integration**
 - the degree to which a firm operates in multiple geographic locations at the same point in an industry's value chain

Growth Strategies: Diversification (1 of 2)

- **Concentric (related) diversification**
 - growth into a related industry when a firm has a strong competitive position, but industry attractiveness is low

Growth Strategies: Diversification (2 of 2)

- **Conglomerate (unrelated) diversification**
 - diversifying into an industry unrelated to its current one
 - management realizes that the current industry is unattractive
 - firm lacks outstanding abilities or skills that it could easily transfer to related products or services in other industries

Stability Strategies

- **Pause/proceed with caution strategy**
 - an opportunity to rest before continuing a growth or retrenchment strategy
- **No-change strategy**
 - decision to do nothing new—a choice to continue current operations and policies for the foreseeable future
- **Profit strategy**
 - decision to do nothing new in a worsening situation but instead to act as though the company's problems are only temporary

Retrenchment Strategies (1 of 4)

- **Retrenchment strategies**
 - used when the firm has a weak competitive position in some or all of its product lines from poor performance

Retrenchment Strategies (2 of 4)

- **Turnaround strategy**
 - emphasizes the improvement of operational efficiency when the corporation's problems are pervasive but not critical
- **Contraction**
 - effort to quickly “stop the bleeding” across-the-board but in size and costs
- **Consolidation**
 - stabilization of the new leaner corporation

Retrenchment Strategies (3 of 4)

- **Captive company strategy**
 - company gives up independence in exchange for security
- **Sell-out strategy**
 - management can still obtain a good price for its shareholders and the employees can keep their jobs by selling the company to another firm
- **Divestment**
 - sale of a division with low growth potential

Retrenchment Strategies (4 of 4)

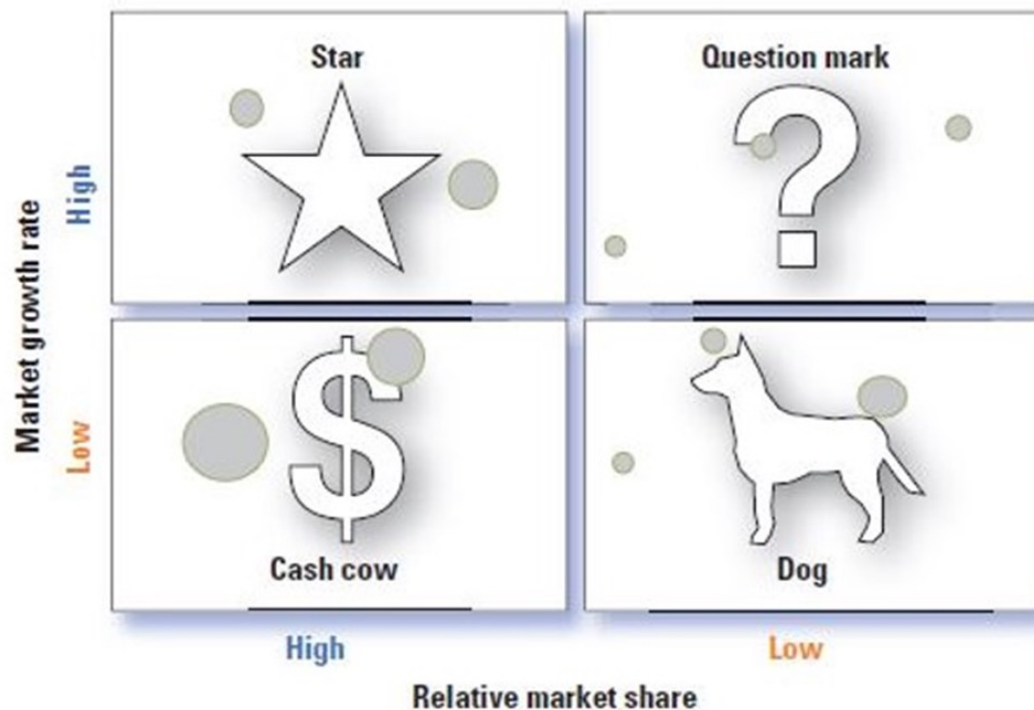
- **Bankruptcy**
 - company gives up management of the firm to the courts in return for some settlement of the corporation's obligations
- **Liquidation**
 - management terminates the firm

Portfolio Analysis

- **Portfolio analysis**
 - management views its product lines and business units as a series of investments from which it expects a profitable return

BCG Growth-Share Matrix (1 of 4)

Figure 7-3: BCG Growth-Share Matrix



Source: Based on **Long Range Planning**, Vol. 10, No. 2, 1977, Hedley, "Strategy and the Business Portfolio." p. 12.
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BCG Growth-Share Matrix (2 of 4)

- **Question marks**
 - new products with the potential for success but need a lot of cash for development
- **Stars**
 - market leaders that are typically at or nearing the peak of their product life cycle and can generate enough cash to maintain their high share of the market and usually contribute to the company's profits

BCG Growth-Share Matrix (3 of 4)

- **Cash cows**
 - products that bring in far more money than is needed to maintain their market share
- **Dogs**
 - products with low market share and do not have the potential to bring in much cash

BCG Growth-Share Matrix (4 of 4)

Limitations of the BCG Growth-Share Matrix include:

- Use of highs and lows to form categories is too simplistic.
- Link between market share and profitability is questionable.
- Growth rate is only one aspect of industry attractiveness.
- Product lines or business units are considered only in relation to one competitor.
- Market share is only one aspect of overall competitive position.

Advantages and Limitations of Portfolio Analysis (1 of 2)

Advantages

- Encourages top management to evaluate each of the corporation's businesses individually and to set objectives and allocate resources for each.
- Stimulates the use of externally oriented data to supplement management's judgment.
- Raises the issue of cash flow availability to use in expansion and growth.
- Graphic depiction facilitates communication.

Advantages and Limitations of Portfolio Analysis (2 of 2)

Limitations

- Defining product/market segments is difficult.
- Suggest the use of standard strategies that can miss opportunities or be impractical.
- Provides illusion of scientific rigor.
- Value-laden terms such as cash cow and dog can lead to self-fulfilling prophecies.
- Not clear what makes an industry attractive or where a product is in its life cycle.
- Naively following prescriptions of model may reduce corporate profits if used inappropriately.

Managing a Strategic Alliance Portfolio (1 of 2)

The four tasks of multi-alliance portfolio management include:

1. Developing and implementing a portfolio strategy for each business unit and a corporate policy for managing all the alliances of the entire company.
2. Monitoring the alliance portfolio in terms of implementing business unit strategies and corporate strategy and policies.

Managing a Strategic Alliance Portfolio (2 of 2)

3. Coordinating the portfolio to obtain synergies and avoid conflicts among alliances.
4. Establishing an alliance management system to support other tasks of multi-alliance management.

Corporate Parenting

- **Corporate parenting**
 - views a corporation in terms of resources and capabilities that can be used to build business unit value as well as generate synergies across business units
 - generates corporate strategy by focusing on the core competencies of the parent corporation and the value created from the relationship between the parent and its businesses.

Developing a Corporate Parenting Strategy

1. Examine each business unit in terms of its strategic factors.
2. Examine each business unit in terms of areas in which performance can be improved.
3. Analyze how well the parent corporation fits with the business unit.

Horizontal Strategy and Multipoint Competition (1 of 2)

- **Horizontal strategy**
 - cuts across business unit boundaries to build synergy across business units and to improve competitive position in one or more business units

Horizontal Strategy and Multipoint Competition (2 of 2)

- **Multipoint competition**
 - large multi-business corporations compete against other large multi-business firms in a number of markets

Q & A